Guide to Starting a Business

The main steps for setting up a new SME in Australia — readiness, structure, registration and early finances.

Source: business.gov.au — Guide to starting a business (Australian Government). Content summarised for iLoca; see business.gov.au/guide/starting for the full guide.

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1. Before You Start

Starting a business takes commitment, business skills and funding, plus the resilience to keep going when things get tough. Before committing, check you're financially and emotionally ready.

Business or hobby?

A business is generally something run to make a profit; a hobby is done for enjoyment, even if you occasionally sell your work. The two have very different obligations around tax, insurance, licences, record keeping and reporting, so it's worth confirming which applies before you go further.

Contractor or employee?

If you'll be providing services to another business, work out whether you're an independent contractor (your own boss, can work for multiple clients, uses your own tools) or an employee (controlled by an employer on how, where and when work is done). Treating an employee as a contractor to avoid obligations is illegal ("sham contracting").

Visas and age

Non-citizens and non-permanent-residents need a visa that permits running a business — not all visa types qualify. People under 18 can run a business in Australia but face restrictions on working hours, and any employees they hire may need a working-with-children check.

2. Define Your Business

Choose a structure

Your legal structure (sole trader, company, partnership or trust) affects the registrations you need and your legal and tax obligations. Get advice from a business adviser if you're unsure which is right for you.

Name and location

A unique, memorable business name helps build your brand and needs to be registered if it differs from your own name. For location, weigh leasing versus buying (leasing has lower upfront costs and more flexibility), and get legal advice before signing any contract — including for home-based businesses, which still carry licensing, tax and insurance obligations.

3. Plan Your Business

Market research

Understand your customers and competitors using public data, competitor analysis (websites, social media, reviews) and direct conversations with potential customers about their needs.

Business plan

A business plan focuses your goals, guides your direction and supports finance applications from banks and investors. It takes time and careful preparation — templates and advisers can help.

Risk management

Identify the main risks to your business (economic downturns, legal issues, loss of a major customer — not just safety hazards), assess likelihood and consequence, and create a plan plus policies and procedures to manage each one.

4. Register Your Business

Core registrations checklist

- Apply for an Australian Business Number (ABN) — free, and needed by most businesses
- Register a business name if trading under a name different from your own
- Consider a trade mark to protect your business name, logo or tagline
- If structured as a company, register for an Australian Company Number (ACN) and get a director ID
- Register for the taxes that apply to you (GST, PAYG withholding, FBT and others depend on structure, turnover and whether you employ people)
- Use the Australian Business Licence and Information Service (ABLIS) to find the licences and permits your activities and location require
- Register a domain name early, even before you're ready to launch a website

5. Organise Your Finances

Start-up costs and funding

Calculate everything you'll need to pay before the business starts generating income, including at least six months of running costs, and check figures with an accountant. Debt finance (loans, repaid with interest) and equity finance (selling a share of the business) are the two main funding routes — compare the risks and costs of each.

Set up your finances

- Create a budget to track financial health and guide spending
- Open a business bank account
- Decide which payment methods to accept
- Choose cash or accrual accounting, and a bookkeeping system
- Set up a compliant record-keeping process

Cash flow and tax

Forecast cash flow using a cash flow statement so you can spot shortages before they happen. All businesses lodge an annual tax return with the ATO, and most also lodge Business Activity Statements (BAS) covering GST, PAYG withholding and FBT — a bookkeeper or accountant can prepare and lodge these for you.